



Executive Insights Report: Olist E-Commerce Performance

1. Revenue Growth

Finding: Gross revenue reached **15.74M** across roughly **98K orders**, with an average order ticket of **103.32** and average customer spend of **208.91**. The Monthly Revenue Trend chart shows a rise from 1.24M (January) to a peak of 1.66M (August), followed by a sharp fall to 0.72M in September and only a partial recovery by December (0.86M).

Insight: The month-over-month growth data tells a maturation story: after a strong build-up through 2017 — capped by a **53.28% MoM spike in November 2017** (the single largest jump in the dataset, likely a Black Friday/holiday surge) — growth decelerates sharply in 2018. Five of the seven months from February through August 2018 show **flat or negative MoM revenue growth** (e.g., -11.11% in February, -10.94% in June, -4.12% in August), even though order counts held steady in the 6,000–7,000/month range. In other words, order volume stabilized, but revenue stopped compounding — the business shifted from a high-growth phase into a plateau in the months following the late-2017 peak.

2. Delivery Performance: The Estimate-Padding Gap

Finding: The average delivery time is **18.79 days** against a **9.88% late-delivery rate**. The estimated-vs-actual chart shows northern/remote states (AP, RR, AM) are quoted the longest windows (~45–46 estimated days) yet actually arrive in ~26–29 days, while SP — the fastest state — is promised just 19 days and delivers in **8.8 days**.

Insight: Estimates are conservatively padded everywhere, but far more so in the North region, while SP's tighter promise window means it also racks up the highest *count* of late deliveries despite being the fastest state overall. The stage-timing breakdown points to the real bottleneck: for remote states like RR, the carrier-to-customer leg alone consumes **~616 hours (~25.7 days)**, dwarfing the ~80-hour approval-to-carrier stage — the delay sits almost entirely in last-mile logistics, not seller processing.

3. Customer Satisfaction Varies Sharply by Category

Finding: The overall average review score is **4.20**. Category-level scores range from a high of **4.5 for books_general_interest** and 4.4 for books_technical down to noticeably lower scores in high-volume categories — sports_leisure sits at 4.11 despite being one of the top revenue categories.

Insight: Low-footprint, low-complexity categories (books, luggage, food & drink) earn the strongest satisfaction, while bulkier, high-volume categories tend to underperform on review score. Since sports_leisure alone represents roughly **988K in revenue**, even a modest lift in its satisfaction score would carry disproportionate weight on overall brand perception.

4. Payment Behavior and Freight Cost Burden

Finding: Revenue by Payment Type shows credit card dominating at **78.35% of revenue** (73.92% of transactions, averaging 3.5 installments), with boleto a distant second (17.92% of revenue, single-installment, upfront). Separately, the Freight Burden by Category panel shows **flowers (44%), furniture/mattress (37%), Christmas supplies (37%), and diapers & hygiene (37%)** carrying the heaviest freight-to-revenue ratios, and the platform-wide Avg Freight % sits at **29.40**.

Insight: The business runs on installment-based credit purchasing, which supports higher average tickets but also creates payment-processing dependency risk. Meanwhile, low-value or bulky/fragile categories are being eaten alive by shipping cost — freight approaching or exceeding a third of item price signals these categories are far less profitable per order than their revenue figures suggest.

5. Geographic Revenue Concentration

Finding: The Sales by Customer State chart is heavily skewed toward **SP and RJ**, and the state-level delivery/review table shows the same handful of states (SP, BA, RJ) repeatedly dominating both order volume and seller revenue rankings — the top revenue-ranked sellers are almost entirely SP-based.

Insight: The business is structurally dependent on the Southeast corridor for both demand and supply-side fulfillment. This concentration supports operational efficiency (short delivery times, low freight burden in SP) but leaves growth and revenue exposed if competitive or logistics pressure hits that single region.

6. Seller Performance Disparities

Finding: The Seller Performance table shows the #1-ranked seller (SP, 1,124 orders) holding a strong 4.14 average review, but the #5-ranked seller (SP, 973 orders, 188K revenue) trails at only **3.35** — the lowest score among the top five revenue generators, while a lower-volume #4 seller (578 orders) posts the best score of the group at 4.37.

Insight: High revenue and high order volume are not reliably correlated with customer satisfaction. At least one top-5 revenue seller is underperforming on quality relative to peers doing similar volume, representing a retention/reputation risk sitting inside the platform's own best-performing accounts.

Recommendations

-  **Investigate the Post-Peak Growth Plateau:** Since order counts stayed roughly flat through mid-2018 while revenue growth stalled, examine whether average order value or category mix shifted after the November 2017 peak (e.g., discounting fatigue, a shift toward lower-ticket categories). Use this to design re-acceleration levers — loyalty incentives, bundling, or upsell campaigns — aimed at lifting order value rather than just order count.
-  **Prioritize Last-Mile Carrier Partnerships in the North Region:** Since carrier-to-customer transit — not seller handling — is the dominant delay for states like RR, AP, and AM, renegotiate or diversify last-mile carrier contracts for these regions rather than tightening seller-side SLAs.
-  **Investigate Sports & Leisure Category Quality:** Given its high revenue contribution but below-average review score, audit product listings, packaging, and post-purchase experience specifically for sports_leisure to protect a major revenue line.
-  **Reassess Pricing or Packaging for High-Freight-Burden Categories:** Categories like flowers, furniture/mattress, and diapers & hygiene are losing a disproportionate share of revenue to shipping costs; consider regional fulfillment hubs, minimum order thresholds, or price adjustments to protect margin.
-  **Audit the Underperforming Top-5 Seller:** Conduct a quality review of the SP-based seller ranked #5 by revenue but lowest by review score (3.35) — coaching or corrective action here protects both revenue and platform reputation simultaneously.
-  **De-risk Geographic Concentration:** With SP and RJ dominating both customer demand and seller supply, invest in seller recruitment and marketing in underrepresented states to reduce single-region dependency over time.